

Multiple Choice

1. **Answer:** A

Options: A) Climate change adaptation and biotechnology; B) International trade and subsidies competition; C) Agricultural sustainability and urbanization pressures; D) Land reform and rural infrastructure development; E) Technological innovation and market expansion

Note: The correct answer is based on the recognition that climate change adaptation is essential for farmers to sustain productivity and resilience in the face of environmental challenges, while biotechnology offers innovative solutions to improve crop yields and reduce resource dependency, both of which justify the need for specialized agricultural policies.

2. **Answer:** E

Options: A) frictionally unemployed.; B) voluntarily unemployed.; C) considered to be a hidden worker.; D) underemployed.; E) structurally unemployed.

Note: Bill is structurally unemployed because his skills as a welder are not aligned with the job market in his current location of New York, despite the high demand for welders in California, indicating a mismatch between his skills and the available jobs.

3. **Answer:** A

Options: A) \$4,000; B) \$6,000; C) \$12,000; D) \$2,000; E) \$1,200

Note: Real GDP is calculated by dividing nominal GDP by the GDP deflator (in decimal form), so $6000 \div (200/100) = 4000$.

4. **Answer:** A

Options: A) Rich and poor countries will experience the same growth rates regardless of savings rates; B) Poor countries will have fluctuating growth rates independent of savings; C) The level of technology determines growth rates, not savings; D) The level of income has no impact on savings; E) Savings have no correlation with growth rates in any country

Note: The Harrod-Domar model, in conjunction with the Keynesian theory of savings, suggests that the growth rates of economies are determined by the level of investment and the capital-output ratio, implying that both rich and poor countries will converge to similar growth rates irrespective of their differing savings rates.

5. **Answer:** E

Options: A) A decrease in the cost of tuba-making materials; B) An increase in the number of graduates at tuba maker training school; C) An increase in the tax on tubas; D) An increase in the number of tuba maker training schools; E) An increase in the price of tubas

Note: An increase in the price of tubas raises the revenue and profitability for tuba

makers, which can lead to higher wages as firms have more resources to pay their workers.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: In a pure capitalism system, consumer preferences may inadequately address the production of public goods and services, such as national defense and infrastructure, which are non-excludable and non-rivalrous, leading to underproduction or lack of provision since individuals cannot be charged directly for their use.

7. **Answer:** False

Options: A) True; B) False

Note: The statement is false because transfer earnings refer to the minimum income required to keep a factor of production in its current use, while a celebrity's income from endorsements is typically a reflection of their unique market value and personal brand, not merely a uniform payment based on standard market conditions.

8. **Answer:** False

Options: A) True; B) False

Note: A kinked demand curve suggests that firms are likely to adjust their output in response to competitors' price changes, as they anticipate that rivals will match price decreases but not price increases, leading to strategic price competition.

9. **Answer:** True

Options: A) True; B) False

Note: Per capita figures account for population changes, allowing for a more precise assessment of economic growth and individual welfare by reflecting the average income or output available to each person in an economy.

10. **Answer:** False

Options: A) True; B) False

Note: The trade deficit account includes not only the import and export of goods and services but also financial transactions such as investments and transfers, which are essential components of a country's balance of payments.

Long Form Response

11. **Answer:** In the loan transaction between Mr. Riley and Mr. Gillis, the nominal interest rate is set at 5%. To analyze the real interest rate, we must consider the effects of inflation; if the inflation rate is also 5%, the real interest rate effectively becomes 0%. This indicates that, in real terms, Mr. Gillis is not gaining any additional purchasing power from the interest earned on the loan, as the inflation completely offsets the nominal return. Consequently, the value of money remains stagnant over the period,

highlighting the importance of considering inflation when evaluating loan agreements. In this scenario, both lenders and borrowers must be aware that nominal rates alone do not reflect the true cost or benefit of borrowing.

Note: This answer is correct because it accurately calculates the nominal interest rate as 5% and demonstrates that when the inflation rate is equal to the nominal rate, the real interest rate is 0%, indicating that the purchasing power of the money lent remains unchanged over the period.

12. **Answer:** When land is designated for a single use, transfer earnings become zero because the land cannot be repurposed for alternative uses that could generate income. This restriction implies that the entire price of the land reflects economic rent, which is the surplus earned by the landowner above the minimum amount necessary to keep the land in its current use. Economic rent arises from the unique characteristics of the land that make it suitable for that specific purpose, leading to a scenario where the land's value is solely driven by these inherent advantages. Consequently, the allocation of land for a single use can lead to inefficiencies in resource distribution, as it prevents the land from being utilized in potentially more productive ways, thereby affecting overall economic welfare. The implications are significant for policy-making, as it underscores the need for flexible land use regulations to optimize economic outcomes.
- Note:* correct because it illustrates that designating land for a single use eliminates transfer earnings by restricting alternative income-generating opportunities, resulting in the entire land price representing economic rent derived from its unique suitability for that specific purpose.